

quickly. HUG did both.

The stock made the Adam & Eve double bottom in September 1999. The day after it broke out upward, I was in the stock at just 6 cents above confirmation. From my notebook: “12 October 1999. Resistance at 26, support at 22. I bought at 23 3/8 [not split adjusted] and expect this to continue rising due to hurricane season boosting sales without impacting outlets. That's the hope. Lowes and Home Depot are doing well, but others are not, Fastenal, Building Materials Holding. They are probably not a distributor like this co... I bought because of the double bottom and higher low when compared to low in March. There is a bunch of resistance at 26, so I anticipate a stall at 25 1/2 to 25 7/8. If it punches through, it's up, up, and away. Downside is the twin lows at about 21. Sell at 20 7/8. That's a downside of 10%.”

I didn't log the sale in my notebook, but it happened just 15 days later when the stock threw back and continued down. I had a stop a few pennies below the lower of the two double bottom lows, and it triggered, handing me an 11% loss in just 2 weeks. I like to keep losses to 8% or less, and this happening in 2 weeks is like a kick in the pants.

There's no lesson to share. Entry and exit were both perfect, except I got creamed in between.

Family Dollar

The trade in Family Dollar (FDO) didn't result in a big loss or gain, but it does have some things I want to mention.

In 2005, the stock made an Adam & Eve double bottom. Before confirmation, I bought. From my notebook: “13 October 2005. Bought at: Buy stop at 21.70, a penny above the confirmation price of 21.69. Placed after the market closed. Stop: 1.5× volatility of 81 cents, so a stop at 19.33 would work (below the lowest [double bottom] low). That's a loss of 10.9%, which is a bit on the steep side. But since the market is trending down, it might be a smart play.

“Upside target: 25.50 to 26 for a Big W rise, the site of overhead resistance in July. Buy reason: AEDB (Adam & Eve double bottom)... This stock has been hit (22 stores effectively closed by Katrina), so revenues will be down.